

DEBT & EQUITY

A Lender Just Funded Condo Construction in Harlem. Here's What They Had to Believe.

The \$45 million loan signals a narrow window for for-sale development in a market still digesting risk.

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A source-grounded Light Tower Insight. The complete note follows.

A lender just committed \$45 million to build 72 condominiums in Harlem. That is not a headline about construction activity. It is a headline about what a credit committee had to believe to say yes.

The project at 264-272 West 135th Street, developed by Mass Development, will rise 11 stories with 12,000 square feet of retail, a 15,000-square-foot community facility, and a top-floor amenity suite. Completion is slated for summer 2028. The loan was secured in July 2026.

Construction financing for for-sale residential in New York City has not been easy to come by. Banks have pulled back. Private lenders have demanded higher spreads and lower leverage. The projects that get funded tend to share a profile: a sponsor with a track record, a basis that pencils at today's costs and tomorrow's exit prices, and a product type that has demonstrated absorption even in a slow market.

This loan fits that profile. But it also reveals something narrower: the lender is betting that Harlem's condo market will absorb 72 units at prices that cover construction costs, carrying costs, and a return on equity by 2028. That is a bet on timing, demand, and the absence of a macro shock over a two-year construction window.

The reported facts are thin on loan terms. No interest rate, LTV, or debt yield is disclosed. But the structure itself is the signal. A \$45 million commitment for a project that will not deliver for two years means the lender accepted basis risk, completion risk, and absorption risk simultaneously. That is not a generic vote of confidence. It is a specific wager that the for-sale market in Upper Manhattan will be deeper in 2028 than it is today.

Mass Development acquired the assemblage in June 2025. The site previously held a pizza shop, an Ethiopian restaurant, a deli, a laundromat, and a former church. Demolition permits for the church were filed early last year. The sponsor has been assembling and clearing the site for over a year before securing financing. That timeline matters. Lenders want to see that a sponsor has already absorbed the hardest costs and the longest uncertainties before they commit capital.

The project's design, by BUILT'D, includes recessed balconies with glass railings, planted terraces, and an open pergola crown. More than half of the units will have private balconies. The amenity package includes a fitness center, garden, resident lounge, spa, children's playroom, and movie room. These are not cost-saving choices. They are positioning choices. The developer is aiming for a buyer who expects design quality and amenity depth, not just a unit in a new building.

That positioning carries its own risk. Condo buyers in Harlem have options. New supply has been delivered in recent years, and existing inventory in the neighborhood has not always cleared quickly. A 72-unit project with a 2028 delivery date will compete against projects that break ground later, projects that are already selling, and resale units from earlier vintages. The lender is betting that this project's location, design, and timing will differentiate it enough to achieve the pricing the underwriting requires.

The community facility component adds another layer. Fifteen thousand square feet of dedicated community space is a meaningful concession to the city's zoning requirements or a genuine amenity for the neighborhood. Either way, it is non-revenue-generating square footage that the developer must build and maintain. The lender had to underwrite that cost without a direct income stream to offset it.

What should a market participant test next? For developers considering similar projects, the question is whether this loan represents a reopening of the construction lending window or an exception for a specific sponsor and site. For lenders, the question is whether they can replicate this underwriting for other for-sale projects in outer-borough locations, or whether Harlem's demographics and price points are unique enough to justify a narrower aperture. For condo buyers, the question is whether 2028 delivery will coincide with a market that can absorb 72 units at the prices the developer needs.

The loan is not proof that construction financing is back. It is proof that a lender found a deal where the basis, the sponsor, and the timeline aligned. That alignment is still rare. When it appears, it is worth watching closely.

SOURCES

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